Thornbury Accounting Advisory
Transaction services and accounting

Financial Due Diligence
FastFreight Logistics

Summary of audited FY26 financial statements and financial analysis supporting a proposed A$38.

Prepared for Quillwood Credit Partners
Version 1.0 Final
12 September 2026
Strictly private and confidential
Reference: TAA-FDD-FFL-2026-09-01
Date: 12 September 2026

Synthetic - for demonstration. All names, entities and figures are fictional.
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Borrower	FastFreight Logistics Pty Ltd
ABN	13 585 425 143
Registered office	Unit 6, 14 Distribution Drive, Eagle Farm QLD 4009
Sponsor	Rourke Family Holdings Pty Ltd (82% of issued capital; balance held by management)
Proposed facility	Senior secured term loan, A$38.0M, 60 months, 1.0% p.a. mandatory amortisation
Auditor	Merriweather Kent Chartered Accountants
Prepared by	Thornbury Accounting Advisory
Prepared for	Quillwood Credit Partners
Date and version	12 September 2026, Version 1.0 Final

Report details

1. Executive summary

Quillwood Credit Partners (Quillwood) has asked Thornbury Accounting Advisory to summarise the audited financial statements of FastFreight Logistics Pty Ltd (FastFreight or the Group) for the year ended 30 June 2026 (FY26) and to report on the financial matters relevant to a proposed senior secured term loan of A$38.0M. The facility is to refinance existing bank debt of A$29.5M, fund A$6.0M of depot sortation automation and fleet electrification capex, and meet A$2.5M of transaction costs and working capital.

Our principal findings are set out below.

- FY26 revenue of A$82.8M and EBITDA of A$9.1M, presented as preliminary figures in the Information Memorandum dated 3 August 2026, agree to the audited FY26 financial statements. We identified no difference between the two sets of figures.
- Revenue grew 16.0% on FY25 and EBITDA grew 24.7%. EBITDA margin has risen from 9.0% in FY24 and 10.2% in FY25 to 11.0% in FY26, driven by lower operating cost per parcel as volumes grew to approximately 14.6 million parcels.
- Earnings below EBITDA are thin. FY26 net profit after tax was A$1.3M. On a pro forma basis, with facility interest of approximately A$4.0M, profit before tax would be around A$0.4M.
- Pro forma gross debt is A$38.0M and cash A$2.5M, giving net debt of A$35.5M. Net leverage is 3.9x FY26 EBITDA and interest cover is 2.3x. Including lease liabilities of A$6.4M, net leverage is 4.6x.
- On a static FY26 basis, cash available for debt service of A$4.8M covers scheduled interest and amortisation of A$4.4M by 1.1x. A fall in EBITDA of about A$0.4M, or 4%, would remove the surplus before any working capital outflow.
- Customer concentration is high. The largest client contributed A$28.2M (34%) of FY26 revenue and the top three clients 61%. Owner-driver contractors account for 38% of revenue as a cost, which carries reclassification risk.
- Independent enterprise value is A$62.0M (Harcourt Beale Advisory Pty Ltd), implying a loan to value ratio of 61.3% and an EV to FY26 EBITDA multiple of 6.8x.

In our view the audited statements provide a reliable basis for credit assessment. The capacity of the Group to service the proposed facility depends on continued EBITDA growth and on delivery of the automation programme, rather than on the FY26 earnings base alone. Section 10 sets out matters we recommend Quillwood address in structuring and documentation.

2. Scope, basis of preparation and sources

This report is a financial due diligence summary. It is not an audit or a review under Australian Auditing Standards, and we express no assurance opinion. We have relied on the audited FY26 financial statements and the FY25 comparatives, and on the following documents.

- Information Memorandum dated 3 August 2026, prepared with the assistance of Lindqvist & Pryor Corporate Advisory Pty Ltd (debt arranger).
- Independent business and asset valuation by Harcourt Beale Advisory Pty Ltd dated 21 August 2026.
- Capex review by Tolland Quantity Surveyors Pty Ltd dated 26 August 2026, covering depot fit-out and automation costs. We have not re-performed that review and refer to it for the engineering and cost view.
- Management explanations provided in response to our queries.

FY24 figures are drawn from the prior year audited statements and are shown for trend only. FY27 year to date management accounts are not available at the date of this report and the term sheet has not been issued. We recommend that trading since 30 June 2026 be reviewed on receipt of the first management accounts, which we understand are due in early October 2026. We have not reviewed a financial model or board approved budget, so the debt service analysis in Section 7 is a static illustration on FY26 results and not a forecast.

All amounts are in Australian dollars. Figures are rounded to one decimal place, so totals may differ from the sum of components by A$0.1M. Net leverage is net debt divided by FY26 EBITDA. EBITDA is stated on an AASB 16 basis, meaning it is before lease expense, and lease liabilities are excluded from the headline net debt figures used in the Information Memorandum.

3. Business overview

FastFreight is a Queensland-headquartered last-mile parcel delivery operator servicing e-commerce retailers, wholesalers and third-party logistics providers across south-east Queensland, Sydney and Melbourne. The Group operates nine depots, employs approximately 285 FTE and engages around 640 owner-driver contractors. It delivered approximately 14.6 million parcels in FY26. Revenue is earned mainly under rolling service agreements with per-parcel pricing and fuel and volume adjustment mechanisms.

Daniel Rourke founded the business in March 2011 with six vans servicing Brisbane. Growth has been organic apart from one small bolt-on acquisition. Key milestones are the Gold Coast and Sunshine Coast depots (September 2016), the multi-year contract with a national online retailer that became the largest client (May 2020), entry to Sydney and Melbourne through two leased depots and the bolt-on acquisition (November 2023), and commissioning of the first automated sortation line at the Eagle Farm hub in October 2025, which lifted hub throughput capacity by approximately 40%.

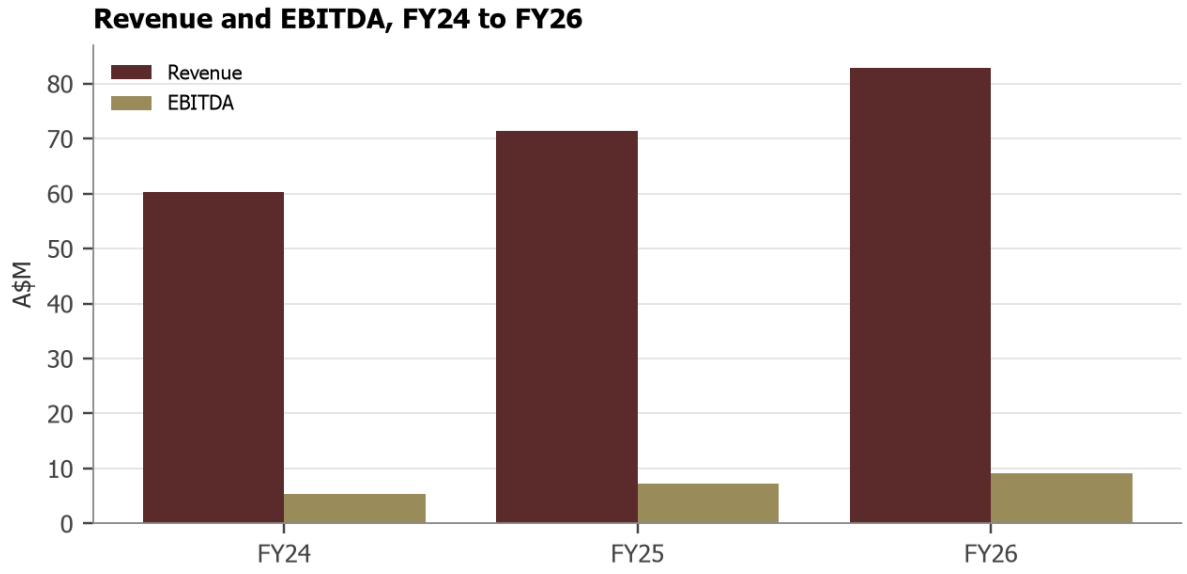
Rourke Family Holdings Pty Ltd, the founder-owned vehicle of Mr Rourke, holds 82% of issued capital, with the balance held by management. The directors are Daniel Rourke (Founder and Managing Director), Priya Holloway (Chief Financial Officer and Executive Director) and Graham Ellison (Independent Non-Executive Chair).

4. Income statement

4.1 Summary results

A$M	FY24	FY25	FY26
Revenue	60.2	71.4	82.8
Owner-driver contractor payments	(22.8)	(26.9)	(31.5)
Employee benefits expense	(17.1)	(19.9)	(22.6)
Fuel and vehicle operating costs	(7.0)	(8.2)	(9.4)
Depot occupancy and facilities	(4.4)	(5.1)	(5.6)
Other operating expenses	(3.5)	(4.0)	(4.6)
EBITDA	5.4	7.3	9.1
Depreciation and amortisation	(3.1)	(3.6)	(4.3)
EBIT	2.3	3.7	4.8
Net finance costs	(2.0)	(2.6)	(2.9)
Profit before tax	0.3	1.1	1.9
Income tax expense	(0.1)	(0.3)	(0.6)
Net profit after tax	**0.2**	**0.8**	**1.3**

Summary income statement, years ended 30 June (audited)



Revenue and EBITDA grew in each year; EBITDA grew faster than revenue.

4.2 Commentary

Revenue rose 18.6% in FY25 and 16.0% in FY26. Volume growth explains the movement: parcels delivered rose from an estimated 12.4 million in FY25 to 14.6 million in FY26, an increase of 17.7%. The Sydney and Melbourne depots opened in November 2023 contributed a full year in each of FY25 and FY26, and the Group has not disclosed any one-off or non-recurring revenue in FY26.

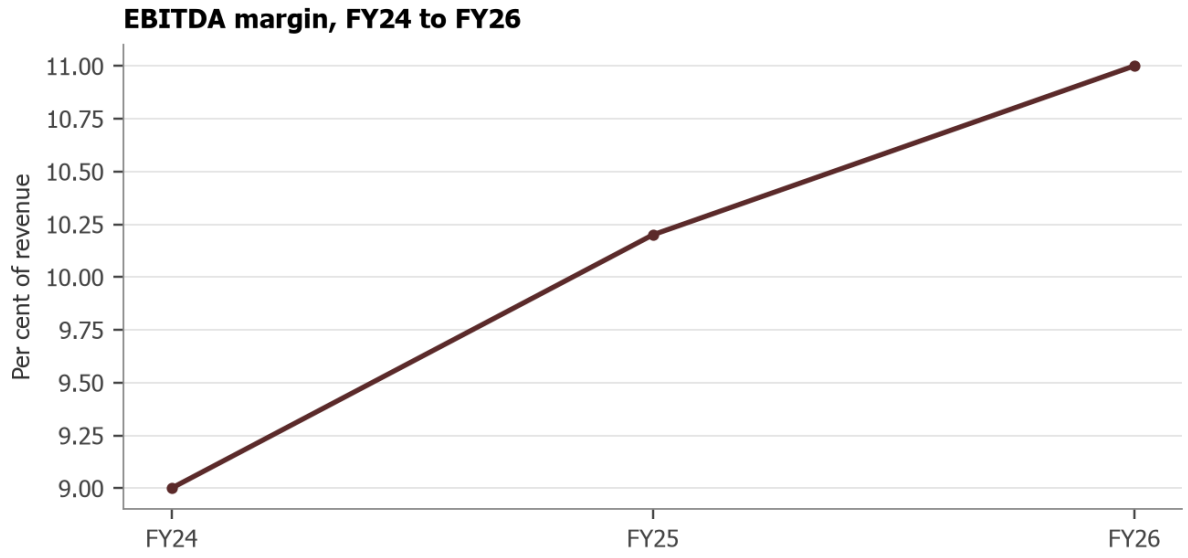
Operating costs excluding depreciation rose 15.0% in FY26, slower than revenue. Fuel and vehicle costs rose 14.6%, in line with volumes, and contractor payments rose 17.1%, slightly faster than revenue. Employee costs rose 13.6%, which we attribute to increased drop density and the first sortation line at Eagle Farm, which reduced manual handling in the second half of FY26. Management attributes the margin improvement mainly to these effects. We note that the benefit has been realised for roughly eight months of the year only, which is positive for run-rate earnings but remains to be evidenced in FY27 management accounts.

4.3 Operating metrics

Revenue per parcel fell by 1.6% in FY26 after rising in FY25, while cost per parcel fell by 2.3%. The business is therefore gaining margin through density and productivity and not through price. That is consistent with the competitive pricing risk identified in Section 9, and it means that any slowdown in volume growth would remove the main driver of margin expansion.

Metric	FY24	FY25	FY26
Parcels delivered (M)	10.6	12.4	14.6
Revenue per parcel (A$)	5.68	5.76	5.67
Operating cost per parcel (A$)	5.17	5.17	5.05
EBITDA per parcel (A$)	0.51	0.59	0.62
Contractor payments, % of revenue	37.9%	37.7%	38.0%
EBITDA margin	9.0%	10.2%	11.0%

Unit economics (FY24 and FY25 parcel volumes per management; FY26 per audited disclosures and management)



EBITDA margin has expanded by 2.0 percentage points over two years.

5. Quality of earnings

Management did not present adjusted EBITDA in the Information Memorandum, and we have made no add-backs to the audited result. The audit report on the FY26 statements is unmodified and contains no emphasis of matter. We considered the following items.

- Commissioning costs for the Eagle Farm sortation line of approximately A$0.3M were expensed in FY26 according to management. We have not treated this as non-recurring because similar costs will arise as further automation is rolled out.
- Fuel adjustment mechanisms are recognised as variable consideration. Where the pass-through lags a rise in fuel prices, the margin impact is borne in the period. We saw no material fuel-related revenue true-up recorded at year end.
- Volume rebates to clients are accrued on an expected basis. We reviewed the year end accrual against post balance date credit notes and noted no exceptions.
- The Group is not presenting pro forma synergies or run-rate savings from automation within EBITDA. We support that approach.

Overall, we regard reported EBITDA of A$9.1M as a fair measure of FY26 operating earnings on an AASB 16 basis. Cash EBITDA after lease payments of A$2.0M is approximately A$7.1M, and this is the more relevant measure for debt service.

6. Balance sheet and net debt

6.1 Statement of financial position

Net assets are modest at A$6.5M, comprising issued capital of A$3.5M and retained earnings of A$3.0M. Tangible net assets are negative once goodwill and intangibles of A$6.3M are excluded. Quillwood should therefore look to enterprise value and cash flow, not book equity, for support. No dividends were paid in FY25 or FY26.

A$M	30 Jun 2025	30 Jun 2026
Cash	1.5	1.8
Trade receivables	9.0	10.4
Other current assets	1.4	1.6
Property, plant and equipment	24.0	26.4
Right-of-use assets	6.1	5.9
Goodwill and intangibles	6.3	6.3
Deferred tax asset	1.3	1.2
Total assets	49.6	53.6
Trade and other payables	7.2	7.8
Employee provisions	2.3	2.6
Borrowings	27.5	29.5
Lease liabilities	6.7	6.4
Make good provision	0.7	0.8
Total liabilities	44.4	47.1
Net assets	**5.2**	**6.5**

Summary statement of financial position (audited)

Trade receivables of A$10.4M represent approximately 46 days of revenue, unchanged from FY25. Receivables are concentrated in the same clients that drive revenue. We have not been given an ageing by client and recommend it be obtained. Current liabilities exceed current assets by A$1.2M, which is typical of the sector and reflects the current portion of bank debt of A$3.0M. Property, plant and equipment is mainly vehicles, sortation equipment and depot fit-out, and additions in FY26 were A$5.2M.

6.2 Net debt and leverage

The pro forma column assumes the facility of A$38.0M is fully drawn at financial close, A$29.5M is applied to the existing debt, A$6.0M is spent on capex and the balance of A$2.5M covers transaction costs and working capital, leaving cash of A$2.5M as presented in the Information Memorandum. We have not seen a closing balance sheet and the reconciliation of the A$2.5M cash balance to the sources and uses should be confirmed. If the capex tranche is drawn ahead of expenditure, reported net debt will be lower until the funds are spent, and Quillwood may wish to hold those funds in a controlled account.

A$M	Actual 30 Jun 2026	Pro forma
Gross bank debt	29.5	38.0
Cash	(1.8)	(2.5)
Net debt	27.7	35.5
Net leverage (x EBITDA)	3.0x	3.9x
Lease liabilities	6.4	6.4
Lease-adjusted net debt	34.1	41.9
Lease-adjusted leverage	3.7x	4.6x
Interest cover (EBITDA / interest)	3.6x	2.3x

Net debt and leverage, actual and pro forma for the proposed facility

Pro forma interest cover of 2.3x assumes an all-in rate of approximately 10.45% (3-month BBSW of about 4.20% plus the 6.25% margin), producing interest of approximately A$3.97M on A$38.0M. The 2.00% establishment fee of A$0.76M is a one-off cost and is not included in the interest figure. The 1.00% p.a. line fee on undrawn commitments would apply only if part of the facility remained undrawn.

7. Cash flow and debt service capacity

7.1 Cash flow

Operating cash flow before interest and tax was 92% of EBITDA in FY26 (A$8.4M before tax paid), indicating sound cash conversion. However, the Group has not generated free cash flow after capex and lease payments in either year and has funded the shortfall from additional bank borrowings of A$4.1M in FY25 and A$2.0M in FY26. Capex of A$5.2M in FY26 comprised approximately A$2.2M of maintenance and A$3.0M of growth spend, mainly the first sortation line and Sydney and Melbourne fit-out. FY25 capex of A$6.1M comprised approximately A$1.9M of maintenance and A$4.2M of growth.

A$M	FY25	FY26
EBITDA	7.3	9.1
Working capital movement	(0.9)	(0.7)
Income tax paid	(0.2)	(0.4)
Operating cash flow before interest	6.2	8.0
Interest paid, including lease interest	(2.6)	(2.9)
Net operating cash flow	3.6	5.1
Capital expenditure	(6.1)	(5.2)
Lease principal payments	(1.5)	(1.6)
Net borrowings drawn	4.1	2.0
Net change in cash	**0.1**	**0.3**

Summary cash flow statement (audited)

7.2 Illustrative pro forma debt service

The debt service cover ratio on this basis is 1.1x. The analysis excludes working capital movements, which absorbed A$0.7M in FY26, and excludes the A$6.0M of growth capex, which is funded by the facility. The surplus of A$0.4M is equal to about 4% of FY26 EBITDA. The facility is a bullet structure with only 1.0% p.a. amortisation, so the A$38.0M balance, less about A$1.9M amortised over five years, must be refinanced or repaid at maturity. Repayment will rely on EBITDA growth, deleveraging from retained cash flow, or a refinancing event, and the first of these needs to deliver a materially higher earnings base than FY26.

A$M	FY26 basis
EBITDA	9.1
Maintenance capex	(2.2)
Lease payments (principal and interest)	(2.0)
Cash tax (pro forma)	(0.1)
Cash available for debt service	4.8
Facility interest	(4.0)
Mandatory amortisation (1.0% of A$38.0M)	(0.4)
Surplus after debt service	**0.4**

Illustrative pro forma debt service on FY26 results (before working capital and growth capex)

7.3 Sensitivity

8. Customer concentration and contractor model

Scenario	EBITDA (A$M)	Net leverage	Interest cover
FY26 base	9.1	3.9x	2.3x
EBITDA down 10%	8.2	4.3x	2.1x
EBITDA down 20%	7.3	4.9x	1.8x
EBITDA down 30%	6.4	5.6x	1.6x

Sensitivity of pro forma leverage and cover to EBITDA (net debt A$35.5M and interest A$3.97M held constant)

The largest client contract is subject to renewal in 2028 and may be terminated for convenience on six months notice. The facility tenor of 60 months extends well beyond that date. As an illustration only, and using our assumption of a 25% incremental contribution margin (not a management figure), loss of the largest client would remove approximately A$7.1M of EBITDA, or 77% of the FY26 result. Even partial repricing or volume loss at renewal would have a significant effect on leverage.

Client group	FY26 revenue (A$M)	Share
Largest client (national online retailer)	28.2	34%
Second and third largest clients	22.3	27%
All other clients	32.3	39%
Total	**82.8**	**100%**

FY26 revenue by client concentration

Owner-driver contractor payments were A$31.5M in FY26, or 38% of revenue, paid to approximately 640 contractors. Employee benefits were A$22.6M for approximately 285 FTE. If 10% of contractor payments were to migrate to employment with on-costs of 20% (superannuation, leave, payroll tax and workers compensation),

annual costs would rise by approximately A$0.6M, or 7% of FY26 EBITDA. A full reclassification on the same assumption would add approximately A$6.3M, or 69% of EBITDA, before any back-pay exposure. Neither the financial statements nor the audit report identifies a provision or contingent liability for reclassification claims, and we recommend that legal advice on the contractor model be obtained.

9. Notes to the financial statements: key observations

9.1 Revenue recognition

Revenue is recognised under AASB 15 as parcels are delivered, with fuel and volume adjustments treated as variable consideration and constrained to the amount unlikely to reverse. The policy is appropriate for per-parcel contracts. Unbilled deliveries at 30 June 2026 are included in trade receivables.

9.2 Property, plant and equipment and capitalisation

Assets are depreciated on a straight-line basis over their useful lives. Management advises vehicles are depreciated over five to eight years and sortation equipment over ten years. Fleet electrification will introduce battery and charging assets with different lives and residual value profiles, and we recommend depreciation policy for these assets be reviewed before the programme starts. We saw no evidence of capitalised operating costs.

9.3 Leases

Depot leases are recognised under AASB 16. Right-of-use assets are A$5.9M and lease liabilities are A$6.4M, of which A$1.6M is current. Depreciation of right-of-use assets is approximately A$1.5M and lease interest A$0.4M. We recommend Quillwood define whether leverage covenants are tested before or after lease costs, given that the difference moves FY26 net leverage from 3.9x to 4.6x.

9.4 Goodwill and intangibles

Goodwill and intangibles of A$6.3M relate mainly to the Sydney and Melbourne bolt-on acquisition. The Group tests goodwill annually for impairment. No impairment was recognised in FY26. Given the thin earnings at the Sydney and Melbourne depots in their early years, we regard the carrying value as dependent on achieving forecast density.

9.5 Provisions, contingencies and subsequent events

Employee provisions of A$2.6M and a make good provision of A$0.8M are recorded. The directors' report discloses no contingent liabilities and the notes disclose no litigation. The statements were prepared on a going concern basis. Management has confirmed that no material events occurred after balance date other than the proposed refinancing, which is not an adjusting event.

10. Key risks and matters for credit consideration

- Customer concentration: the largest client represents 34% of revenue and the top three 61%, with the largest contract up for renewal in 2028 and terminable on six months notice. Consider a mandatory prepayment or cash sweep trigger on loss or material repricing of that contract.
- Contractor model: reclassification, employment law reform and wage-related claims could increase labour costs. A 10% migration adds around A$0.6M of annual cost on our assumptions. Legal advice should be a condition precedent.
- Competitive pricing: large national carriers and retailer in-house fleets may compress per-parcel yields, which already fell 1.6% in FY26, and fuel pass-through lags could erode margin.
- Leverage and cash flow: net leverage of 3.9x and interest cover of 2.3x leave limited headroom. A 4% fall in EBITDA removes the debt service surplus on our static analysis. Covenant levels should be set with reference to the sensitivity in Section 7.3.
- Execution risk: Sydney and Melbourne density and the sortation automation programme may not deliver forecast productivity or savings on schedule. Capex draws should be supported by the Tolland Quantity Surveyors review and progress certification.

- Key person risk: Mr Rourke remains central to client relationships and strategy, and succession planning is limited. A key person provision and a written succession plan should be considered.

Recommended information requests

- FY27 year to date management accounts and a board approved budget, to test the run-rate effect of the sortation line.
- Receivables ageing by client at 30 June 2026 and 31 August 2026.
- Reconciliation of the sources and uses to the pro forma cash balance of A$2.5M, and a closing balance sheet.
- Contract summaries for the three largest clients, covering term, pricing, termination and fuel adjustment terms.
- Legal advice on owner-driver contractor arrangements and any claims received to date.

11. Limitations

This report has been prepared for Quillwood Credit Partners solely to assist its assessment of the proposed facility and must not be relied upon by any other party. It is based on information provided by the Group, its auditor and its advisers, which we have not independently verified except where stated. Figures labelled illustrative or based on our assumptions are not forecasts. Valuation conclusions are those of Harcourt Beale Advisory Pty Ltd, and capex cost conclusions are those of Tolland Quantity Surveyors Pty Ltd, and we have not formed a view on either.

Prepared by	Thornbury Accounting Advisory, Financial Due Diligence team
Engagement partner	Margaret Oakes
Senior manager	Thomas Hendry
Report date	12 September 2026
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Sign-off